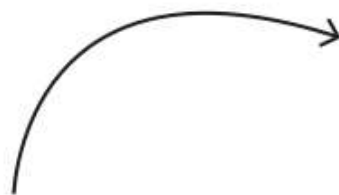


Had this been a **forward contract**, these profits and losses on each side would have been **accumulated** until the maturity or expiry date of the contract. Actual settlement would have occurred on date of maturity which would have created room for Counter-party risk.



But in **futures market**, with daily mark to market, the profits and losses are **regularly paid off**. Also, additional capital is introduced whenever required. This reduces counter-party risks quite significantly.

